Cumulus Bank

Commercial banking from Cumulus Bank

COMMERCIAL LENDING

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PRODUCT BROCHURE · COMMERCIAL LENDING

# Commercial Real Estate Financing

*Purchase, construction, and permanent financing for owner-occupied and investor commercial real estate — underwritten to DSCR and LTV, with fixed and floating options indexed to the swap curve.*

| | |
|---|---|
| PROPERTY TYPES | Owner-occupied · investor · mixed-use · special-purpose |
| LOAN AMOUNTS | $500,000 – $50,000,000 (syndicated above $25M) |
| RATES (FIXED 3/5/7/10-YR) | 6.50% – 8.25% (swap-indexed) |
| AMORTIZATION | 25-year typical; 30-year on multifamily |
| MAXIMUM LTV | 75% investor · 85% owner-occupied (with SBA 504) |
| MINIMUM DSCR | 1.25x (investor); 1.20x (owner-occupied) |
| PREPAYMENT | Yield maintenance or declining step-down |
| RECOURSE | Full recourse · partial recourse · non-recourse available |

AT A GLANCE

## Overview

Cumulus provides acquisition, refinance, and construction financing for a broad range of commercial real estate — owner-occupied properties for operating businesses, income-producing investor properties, and mixed-use and special-purpose assets. Loans are underwritten to the property's debt-service-coverage ratio (DSCR) and loan-to-value (LTV), with additional guarantor and global-cash-flow underwriting at Cumulus's discretion. Fixed-rate options are priced off the swap curve; floating-rate options reference SOFR. Construction financing is offered alongside permanent take-out commitments to provide single-source execution.

WHAT WE FINANCE

## Property types and underwriting

OFFICE

### Office

Suburban and Class-B urban office, medical office, and single-tenant triple-net. Lease-up and tenant-improvement reserves underwritten; vacancy stresses applied.

INDUSTRIAL / WAREHOUSE

### Industrial / warehouse

Bulk distribution, last-mile logistics, flex, and light manufacturing. Clear-height, column spacing, and dock/truck-court configuration reviewed.

RETAIL

### Retail

Grocery-anchored, neighborhood, and strip retail. Credit-tenant concentration, rollover schedule, and in-place rents vs. market tested.

MULTIFAMILY

### Multifamily

Market-rate and affordable multifamily (5+ units). 30-year amortization available; stabilized and lease-up underwriting. HUD and Fannie/Freddie permanent take-out partners.

OWNER-OCCUPIED

### Owner-occupied

51%+ owner occupancy. Up to 85% LTV with SBA 504 structure; conventional up to 80% LTV for strongest profiles.

SPECIAL-PURPOSE

### Special-purpose

Hotel, self-storage, senior living, healthcare, religious, and specialty retail. Sponsor experience and third-party operator reviewed.

PRICING

## Rates and structure

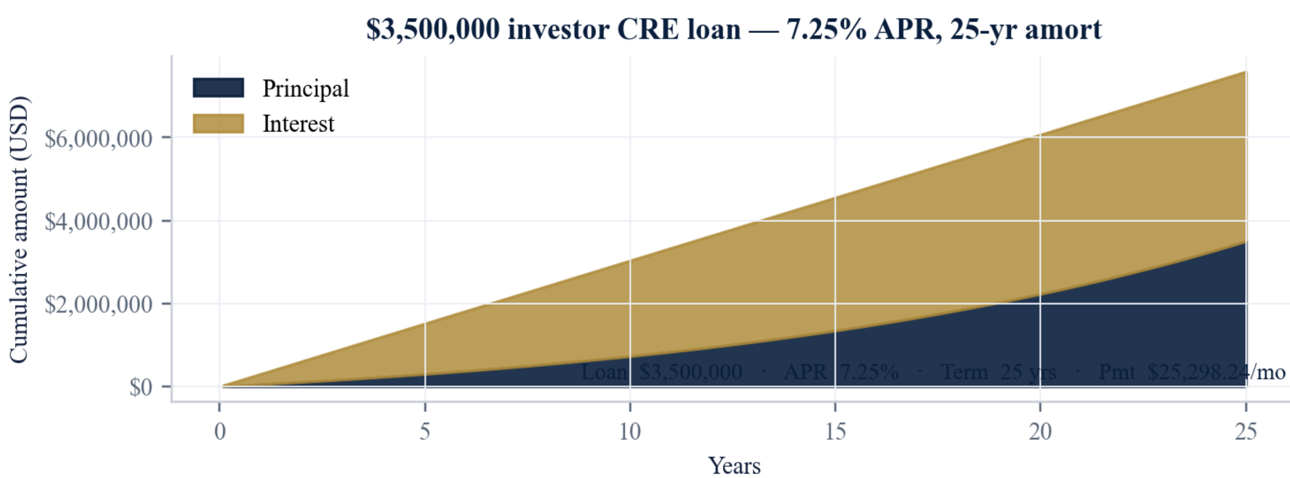
Fixed-rate facilities are priced at a spread over the interpolated swap curve. The range below is illustrative and reflects differentiation by property type, risk grade, LTV, DSCR, and recourse. Rates are quoted at term-sheet stage and locked for up to 60 days subject to execution.

| FIXED TERM | INDEX | SPREAD (BPS) | ALL-IN RATE (ILLUSTRATIVE) | TYPICAL AMORT. |
|---|---|---|---|---|
| 3-year fixed | 3-yr swap | +225 to +350 | 6.50% – 7.75% | 25 yrs |
| 5-year fixed | 5-yr swap | +235 to +360 | 6.60% – 7.85% | 25 yrs |
| 7-year fixed | 7-yr swap | +245 to +375 | 6.70% – 8.00% | 25 yrs |
| 10-year fixed | 10-yr swap | +260 to +400 | 6.85% – 8.25% | 25–30 yrs |
| Floating — SOFR-based | Term SOFR (1-mo) | +225 to +400 | Indexed, resets monthly | 25 yrs |
| Construction + permanent | Prime or SOFR (construction); swap (perm.) | +275 to +425 (construction) | 10.25% – 12.25% interim · perm. at take-out | 36-mo construction; 25-yr perm. |

PAYMENT PROFILE

## Illustrative investor CRE amortization

The illustration below models a $3,500,000 investor-owned retail center financed at 7.25% fixed for 10 years on a 25-year amortization, with a balloon at maturity equal to the remaining principal.




CREDIT STANDARDS

## Underwriting parameters

| PARAMETER | INVESTOR CRE | OWNER-OCCUPIED | SPECIAL-PURPOSE |
|---|---|---|---|
| Maximum LTV (stabilized) | 75% | 80% conv. · 85% w/ SBA 504 | 65% – 70% |
| Minimum DSCR | 1.25x | 1.20x (global 1.25x) | 1.30x – 1.40x |

| PARAMETER | INVESTOR CRE | OWNER-OCCUPIED | SPECIAL-PURPOSE |
|---|---|---|---|
| Minimum debt yield | 9.00% | Not tested (coverage-driven) | 10.00% + |
| Maximum LTC (construction) | 75% (strong sponsor) | 80% | 65% |
| Recourse | Full or partial | Full (with SBA where applicable) | Full |
| Sponsor net worth | ≥ loan amount | Reasonable | 1.5x loan amount |
| Sponsor liquidity | ≥ 10% of loan | Reasonable | ≥ 15% |
| Occupancy test (investor) | 85% stabilized | Not applicable | Varies by type |

DILIGENCE PACKAGE

## Documentation required

### Property-level

— Commercial real-estate appraisal (MAI-designated for complex assets).

— Phase I Environmental Site Assessment (ASTM E1527-21); Phase II if Phase I recommends further investigation.

— Property Condition Report (ASTM E2018-15) for assets 10+ years old or construction over $5M.

— Title commitment with ALTA extended coverage and zoning endorsement; survey (ALTA/NSPS).

— Rent roll, tenant leases (abstracts for credit tenants), trailing 24-month operating statements.

— Purchase and sale agreement (acquisition); payoff letter (refinance); budgeted sources-and-uses (construction).

### Sponsor-level

— Three years business and personal federal tax returns.

— Current personal financial statement signed within 90 days.

— Schedule of real-estate investments (SREO) with property performance data.

— Resume of principal(s) and property-management affiliate.

— Formation documents of borrowing entity (typically a single-purpose LLC), operating agreement, and authorizing resolution.

— Non-recourse carve-out guarantor and environmental indemnity (non-recourse transactions).

HOW IT WORKS

## Process and timeline

| STEP | WHAT HAPPENS | TIMING |
|---|---|---|
| 1 · Initial screen | Relationship Manager and CRE Underwriter screen property, sponsor, and structure; preliminary sizing issued. | Days 1–5 |
| 2 · Term sheet | Non-binding indicative term sheet: amount, rate, term, amort., LTV, DSCR test, recourse, reserves, and fees. | Days 5–10 |

| STEP | WHAT HAPPENS | TIMING |
|---|---|---|
| 3 · Third-party reports | Appraisal, Phase I, PCR, and title ordered concurrently with formal credit underwriting. | Days 10–45 |
| 4 · Credit approval | Credit Committee approval upon receipt of third-party reports; commitment letter issued. | Days 35–50 |
| 5 · Closing | Loan agreement, mortgage / deed of trust, assignment of rents, environmental indemnity, and guaranties executed. Title recording; funds disbursed. | Days 50–75 |
| 6 · Construction (if applicable) | Monthly draws on percent-complete basis with third-party inspector certification; conversion to permanent at CO. | Ongoing |

POST-CLOSING

## Reserves and ongoing obligations

— **Tax and insurance escrows** — monthly reserves of 1/12 of annual taxes and insurance; waivable for strong sponsors.

— **Replacement reserves** — $0.15–$0.30 per square foot per annum (property-type dependent) for capital replacements.

— **Tenant improvement / leasing commission reserves** — 60–90 day rollover assumption on investor retail and office.

— **Debt-service-coverage testing** — annual DSCR test; cash-flow sweep to principal upon DSCR below 1.10x (investor) or 1.05x (owner-occupied).

— **Rent-roll reporting** — quarterly rent roll for investor properties; annual operating statements.

— **Site visit** — annual site inspection for loans $2M and above.

PREPAYMENT PROTECTION

Cumulus offers two prepayment structures. Yield maintenance preserves Cumulus's economic yield to maturity and is typical on longer-fixed-term facilities. A declining step-down (e.g., 5-4-3-2-1) is an alternative on shorter-term structures. Both open to full prepayment in the final 90 days before maturity.

COMMON QUESTIONS

## Frequently asked questions

### What LTV and DSCR do you require?

Maximum LTV is 75% on stabilized investor properties, 80% on conventional owner-occupied, and 85% when combined with SBA 504. Minimum DSCR is 1.25x on investor (1.20x on owner-occupied) at the in-place rate; 1.15x stressed at a 2% rate shock. Special-purpose assets carry higher coverage requirements.

### Do you offer non-recourse financing?

Yes. Non-recourse is available on strongly positioned stabilized investor properties with experienced sponsors, typically at 65% LTV and above 1.35x DSCR. Customary bad-boy (non-recourse carve-out) guarantees and an environmental indemnity apply.

### Can the rate be locked before closing?

Yes. Rate locks are available at term-sheet acceptance for 60 days subject to a rate-lock deposit. For longer periods, a forward-rate lock through Cumulus Capital Markets is available up to 180 days.

### Do you finance construction?

Yes. Cumulus provides construction loans with a permanent take-out at certificate of occupancy. Construction financing is priced at Prime or SOFR + 225–425 bps; monthly draws are funded on a percent-complete basis with third-party inspector certification.

### How are appraisals and environmentals handled?

Cumulus engages appraisers, environmental consultants, and engineers from its approved vendor list; fees are billed directly to the borrower. Reports are commissioned upon term-sheet acceptance and typically return within 30–45 days for straightforward property types.

### Will Cumulus finance a 1031-exchange property?

Yes, and Cumulus's Real Estate Finance team is experienced in coordinating financing within 1031-exchange timelines. Early engagement is essential; a 45-day identification and 180-day exchange deadline imposes strict timing discipline.

DISCLOSURES & REGULATORY NOTICES

# Important disclosures

§ Annual Percentage Rate (APR) shown is representative and based on illustrative borrower credit profiles; the rate offered to an individual applicant may differ materially. All extensions of credit are subject to application, underwriting, and verification of income, employment, assets, and collateral.
§ Disclosures are provided pursuant to the Truth in Lending Act (Regulation Z, 12 C.F.R. Part 1026), the Equal Credit Opportunity Act (Regulation B, 12 C.F.R. Part 1002), and the Real Estate Settlement Procedures Act (Regulation X, 12 C.F.R. Part 1024) where applicable.
§ For real-estate-secured credit, flood-zone determination, title insurance, property appraisal, and hazard insurance are required. Flood insurance is required where the property is located in a Special Flood Hazard Area identified by FEMA.
§ Cumulus Bank, N.A. is an Equal Housing Lender. Residential mortgage products are offered through Cumulus Home Lending, a division of Cumulus Bank, N.A.
§ NMLS Consumer Access: www.nmlsconsumeraccess.org · NMLS ID 2026045.
§ Commercial real-estate loans are commercial credit and are not subject to the Real Estate Settlement Procedures Act (RESPA), the Truth in Lending Act (TILA), or Regulation Z. Consumer protections applicable to residential mortgages do not apply.
§ Flood insurance is required where the property is located in a FEMA-designated Special Flood Hazard Area. Borrowers must maintain hazard, liability, and business-interruption insurance in amounts and with carriers acceptable to the Bank throughout the term.
§ Interest-rate swaps, caps, and floors are offered through Cumulus Capital Markets LLC, an affiliated swap dealer. Derivatives carry material risks and require ISDA documentation and applicable ECP representations.
§ Appraisal and environmental reports are commissioned by Cumulus Bank for internal underwriting purposes; borrower copies provided per 12 C.F.R. Part 226 / Regulation B where applicable.

ENGAGE A SPECIALIST

# Connect with a Cumulus commercial banker

A Commercial Relationship Manager will assess your business's banking, credit, and treasury needs, coordinate supporting specialists, and return a term sheet or proposal on an expedited timeline. Existing Cumulus clients should contact their dedicated Relationship Manager directly.

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|---|---|
| **COMMERCIAL DESK** | 954.417.2880<br>Client Services, Mon–Fri 7:00 a.m. – 9:00 p.m. ET · Sat 8:00 a.m. – 5:00 p.m. ET |
| **CLIENT PORTAL** | cumulusbank-demo-bb054209d76d.herokuapp.com<br>Apply online, review rates, or schedule an appointment. |
| **TREASURY SERVICES** | Commercial banking centers are staffed by appointment. Request a consultation at cumulusbank-demo-bb054209d76d.herokuapp.com/commercial. |